GDP - By Sum of Spending, Factor Incomes or Output

GDP (Expenditure)	GDP (Factor Incomes)	GDP (Value of Output)

• Consumption
• Government spending
• Investment spending
• Change in value of stocks
• Exports
• –Imports
• = GDP (known as aggregate demand)
	• Income from people in jobs and in self employment (e.g. wages and salaries)
	• Profits of private sector business
	• Rent income from the ownership of land
		• Value added from each of the main economic sectors
		• These sectors are
		  • Primary sector
		  • Secondary sector
		  • Tertiary sector

This is because the three methods are circular in nature. It begins as production, through recruitments of factors of production, generating income and going as incomes to factors of production.

2.5.1 Product Method

Product method measures the output of the country. It is also called inventory method. Under this method, the gross value of output from different sectors like agriculture, industry, trade and commerce, etc., is obtained for the entire economy during a year. The value obtained is actually the GNP at market prices. Care must be taken to avoid double counting.

The value of the final product is derived by the summation of all the values added in the productive process. To avoid double counting, either the value of the final output should be taken into the estimate of GNP or the sum of values added should be taken.

In India, the gross value of the farm output is obtained as follows :

(i) Total production of 64 agriculture commodities is estimated. The output of each crop is measured by multiplying the area sown by the average yield per hectare.

(ii) The total output of each commodity is valued at market prices.

(iii) The aggregate value of total output of these 64 commodities is taken to measure the gross value of agricultural output.

(iv) The net value of the agricultural output is measured by making deductions for the cost of seed, manures and fertilisers, market charges, repairs and depreciation from the gross value.

12-Economics-Chapter_2.indd 23 23-12-2022 14:42:04